Candlestick Charts Explained

A beginner's guide to reading bullish and bearish candles

What is a candlestick?

A candlestick is one small shape on a price chart. Each candle shows what the price did during **one period of time**, such as one minute, one hour or one day. Reading candles tells you who was winning during that period: buyers or sellers.

Every candle is built from four prices, known as **OHLC**:

- **Open**: the price at the start of the period.
- **High**: the highest price reached.
- **Low**: the lowest price reached.
- **Close**: the price at the end of the period.

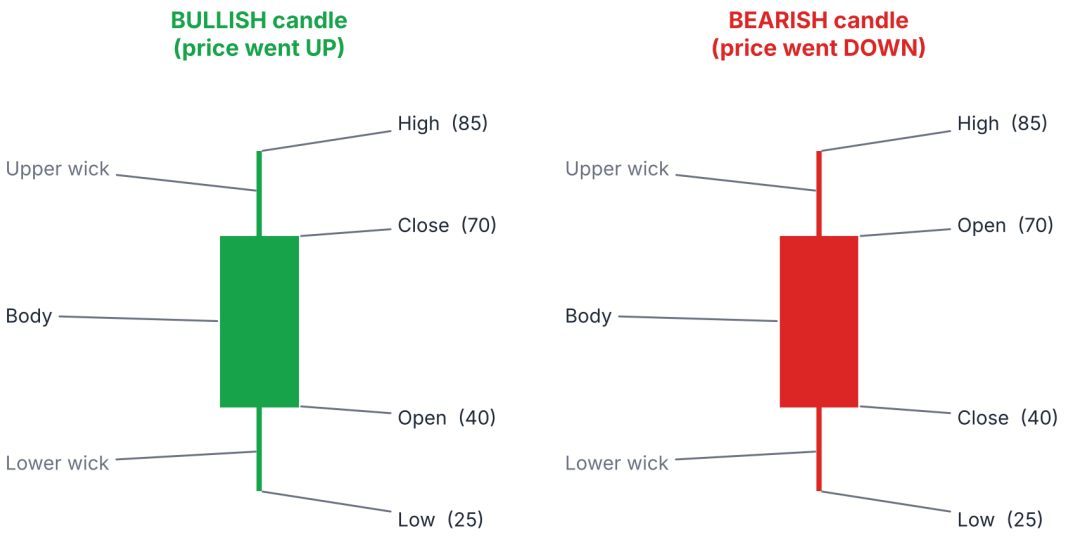


Figure 1. The parts of a candle. The thick part is the **body** (open to close). The thin lines are the **wicks** (also called shadows), showing the high and the low.

How to read the body and the wicks

- **Long body**: a strong move. One side was in control for most of the period.
- **Short body**: a weak move or indecision. Buyers and sellers were balanced.
- **Long upper wick**: price went up but sellers pushed it back down. Higher prices were rejected.
- **Long lower wick**: price dipped but buyers pushed it back up. Lower prices were rejected.
- **No wicks**: one side controlled the whole period.

Bullish vs bearish candles

The first thing to learn is the color. It tells you in one glance which direction price moved.

	Bullish candle	Bearish candle
Usual color	Green	Red
Close vs open	Close is **higher** than open	Close is **lower** than open
What happened	Buyers pushed the price **up**	Sellers pushed the price **down**
Body runs from	Open (bottom) up to close (top)	Open (top) down to close (bottom)
Mood	Optimism, demand	Fear, supply

Colors can differ. Some platforms use white and black, or blue and red. Always check the chart's settings so you know which color means up and which means down.

Candles in a trend

One candle tells you little. A **series** of candles shows the trend. In an uptrend you see mostly green candles and the price makes higher highs. In a downtrend you see mostly red candles and the price makes lower lows. Even in a strong trend a few opposite-color candles appear. That is normal.

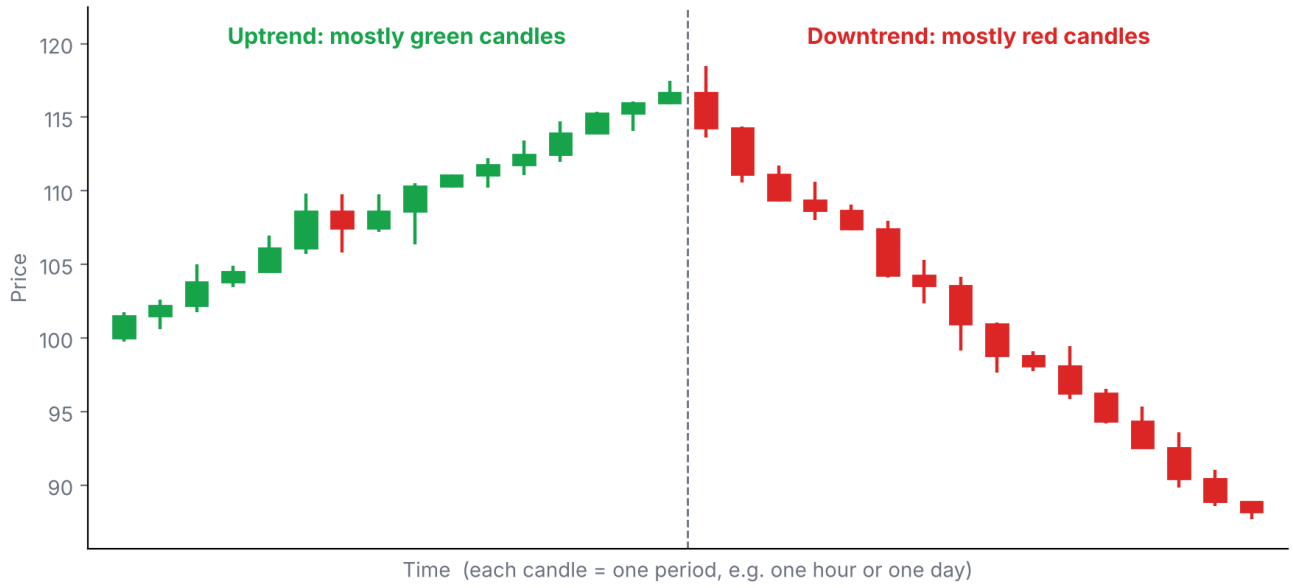


Figure 2. An illustration of an uptrend followed by a downtrend. The data is made up for teaching and is not a real market.

Single-candle patterns

Some candle shapes are given names because traders watch them for clues. Here are four of the most common.

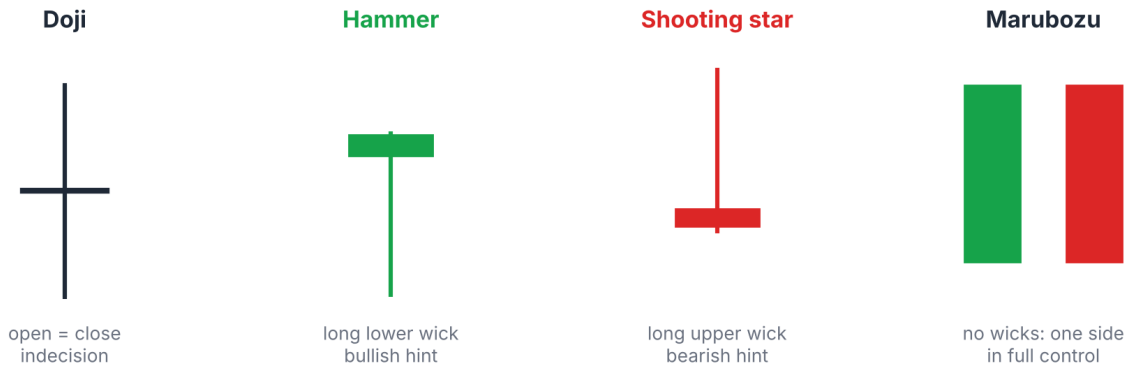


Figure 3. Single-candle patterns.

Pattern	What it looks like	What it may suggest
Doji	Open and close are almost the same, so the body is a thin line with wicks.	Indecision. Buyers and sellers are balanced. After a long move it can warn that the trend is tiring.
Hammer	Small body near the top, long lower wick, little or no upper wick.	After a downtrend, it may hint that buyers are stepping in. A **bullish** clue.
Shooting star	Small body near the bottom, long upper wick, little or no lower wick.	After an uptrend, it may hint that sellers are taking over. A **bearish** clue.
Marubozu	A full body with no wicks. Green opens at the low and closes at the high; red does the opposite.	Strong control. Green shows heavy buying, red shows heavy selling.

Quick recap

Green candle	Price closed higher than it opened (bullish).
Red candle	Price closed lower than it opened (bearish).
Long body	Strong move. One side was clearly in control.
Long wick	Price went there but was pushed back. A rejection of that level.

Multi-candle patterns

Patterns made of two or three candles are often more reliable than a single one, because they show a change in who is in control.

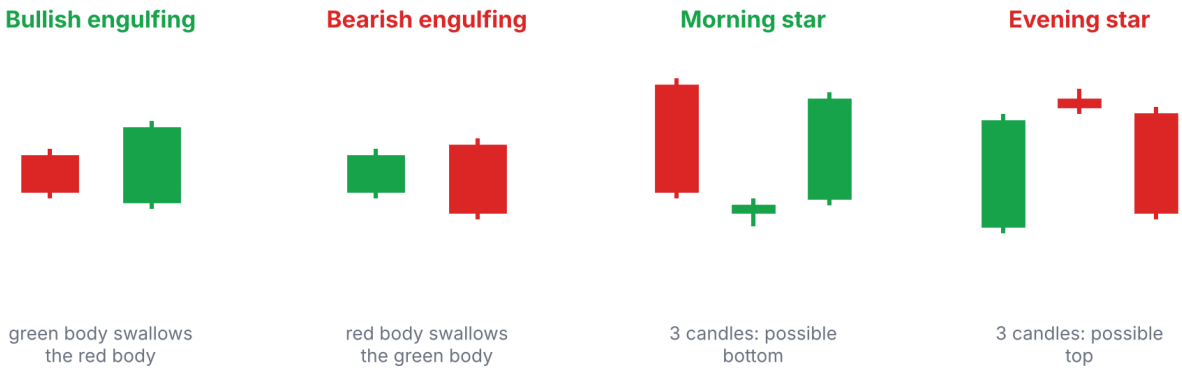


Figure 4. Two- and three-candle patterns.

Pattern	How it forms	What it may suggest
Bullish engulfing	A small red candle is followed by a larger green candle whose body fully covers the red body.	After a downtrend, buyers have overpowered sellers. A possible move up.
Bearish engulfing	A small green candle is followed by a larger red candle whose body fully covers the green body.	After an uptrend, sellers have overpowered buyers. A possible move down.
Morning star	A big red candle, then a small candle that shows hesitation, then a big green candle.	The downtrend may be ending and a bottom may be forming.
Evening star	A big green candle, then a small candle that shows hesitation, then a big red candle.	The uptrend may be ending and a top may be forming.

Rules that keep beginners safer

- **Never trade on one candle.** Look at the trend and at the support and resistance levels around it.
- **Wait for confirmation.** A pattern is only a clue. Check whether the next candle agrees with it.
- **Use higher timeframes first.** Hourly and daily charts are less noisy than 1-minute charts.
- **Practice on a demo account.** Learn to spot patterns with no real money at risk.
- **Use a stop-loss and risk only a small part of your money on one trade.**
- **Keep a journal.** Write down what you saw, what you did and what happened.

Important: This guide is for education only and is not financial advice. Candlestick patterns can fail, and trading carries a high risk of losing money. Never trade with money you cannot afford to lose. Consider speaking to a licensed adviser about your own situation.